

8 This was not an isolated incident; on at least three other occasions in the late 1990s, day traders sent the wrong stock soaring when they mistook its ticker symbol for that of a newly minted Internet company.

9 In 2000 and 2001, Amazon.com and Qualcomm lost a cumulative total of 85.8% and 71.3% of their value, respectively.

10 Schwert discusses these findings in a brilliant research paper, “Anomalies and Market Efficiency,” available at <http://schwert.ssb.rochester.edu/papers.htm>.

11 See Plexus Group Commentary 54, “The Official Icebergs of Transaction Costs,” January, 1998, at www.plexusgroup.com/fs_research.html.

12 James O’Shaughnessy, *What Works on Wall Street* (McGraw-Hill, 1996), pp. xvi, 273–295.

13 In a remarkable irony, the surviving two O’Shaughnessy funds (now known as the Hennessy funds) began performing quite well just as O’Shaughnessy announced that he was turning over the management to another company. The funds’ shareholders were furious. In a chat room at www.morningstar.com, one fumed: “I guess ‘long term’ for O’S is 3 years.... I feel your pain. I, too, had faith in O’S’s method.... I had told several friends and relatives about this fund, and now am glad they didn’t act on my advice.”

14 See Jason Zweig, “False Profits,” *Money*, August, 1999, pp. 55–57. A thorough discussion of The Foolish Four can also be found at www.investorhome.com/fool.htm.

***** The list of sources for investment advice remains as “miscellaneous” as it was when Graham wrote. A survey of investors conducted in late 2002 for the Securities Industry Association, a Wall Street trade group, found that 17% of investors depended most heavily for investment advice on a spouse or friend; 2% on a banker; 16% on a broker; 10% on financial periodicals; and 24% on a financial planner. The only difference from Graham’s day is that 8% of investors now rely heavily on the Internet and 3% on financial television. (See www.sia.com.)

***** The character of investment counseling firms and trust banks has not changed, but today they generally do not offer their services to investors with less than \$1 million in financial assets; in some cases, \$5 million or more is required. Today thousands of independent financial-planning firms perform very similar functions, although (as analyst Robert Veres puts it) the mutual fund has replaced blue-chip stocks as the investment of choice and diversification has replaced “quality” as the standard of safety.

***** Overall, Graham was as tough and cynical an observer as Wall Street has ever seen. In this rare case, however, he was not nearly cynical enough. Wall Street may have higher ethical